

novel is supposed to be the next *Moby Dick*, only to find that the first is cut from the team, and the second is quietly remaindered? In stocks there's a similar curse.

In fact, when people tout a stock as the next of something, it often marks the end of prosperity not only for the imitator but also for the original to which it is being compared. When other computer companies were called the "next IBM," you could have guessed that IBM would go through some terrible times, and it has. Today most computer companies are trying not to become the next IBM, which may mean better times ahead for that beleaguered firm.

After Circuit City Stores (formerly Wards) became a successful electronics retailer, there was a string of nexts, including First Family, Good Guys, Highland Superstores, Crazy Eddie, and Fretters. Circuit City is up fourfold since 1984, when it was listed on the New York Stock Exchange, somehow avoiding the IBM curse, while all of the nexts have lost between 59 and 96 percent of their original value.

The next Toys "R" Us was Child World, which also stumbled; and the next Price Club was the Warehouse Club, which fared no better.

AVOID DIWORSEIFICATIONS

Instead of buying back shares or raising dividends, profitable companies often prefer to blow the money on foolish acquisitions. The dedicated diworseifier seeks out merchandise that is (1) overpriced, and (2) completely beyond his or her realm of understanding. This ensures that losses will be maximized.

Every second decade the corporations seem to alternate between rampant diworseification (when billions are spent on exciting acquisitions) and rampant restructuring (when those no-longer-exciting acquisitions are sold off for less than the original purchase price). The same thing happens to people and their sailboats.

These frequent episodes of acquiring and then regretting, only to divest and acquire and regret once again, could be applauded as a form of transfer payment from the shareholders of the large and cash-rich corporation to the shareholders of the smaller entity being taken over, since the large corporations so often overpay. The why of all this I've never understood, except perhaps that corporate management finds it more exciting to take over smaller companies, however expensive, than to buy back shares or mail dividend checks, which requires no imagination.

Perhaps psychologists should analyze this. Some corporations, like some individuals, just can't stand prosperity.

From an investor's point of view, the only two good things about diworseification are owning shares in the company that's being acquired, or in